

Bitcoin Investment Strategy: The "Dynamic Loop" V3.1 (Questrade TFSA)

Account Context: This strategy is optimized exclusively for **Questrade** to leverage \$0 commissions on ETF buys and sells. This document outlines the rules for buying, selling, and managing cash using **BTCC.B** (Purpose Bitcoin ETF - CAD Non-Hedged) and **CASH.to** (Global X High Interest Savings ETF).

1. Core Principles

- **The "Parking Spot":** All uninvested cash and profit must sit in **CASH.to** to earn monthly interest while waiting for entry points.
- **The Currency Rule:** Use **BTCC.B** (CAD) to avoid currency conversion spreads.
- **Bi-Monthly Frequency:** Contributions are split into two installments per month (the 1st and the 15th).
- **Conflict Resolution: Sell rules always override Buy rules.** Once the price enters a "Take Profit" zone ($\geq 50\%$ above the 200-day SMA), all contributions into BTCC.B stop and are diverted to CASH.to.

2. Accumulation Rules (Buying)

Contributions are made on the **1st and 15th** of every month. *Base Installment = \$500 (\$1,000 total per month)*. These rules use the **200-Day SMA** as a dynamic baseline.

Market Condition	Technical Indicator	Installment Action
Maximum Accumulation	Price $\leq$ 200-Week WMA	\$1,000 per installment: Double base + empty CASH.to "parking spot" into BTCC.B.
Aggressive Buy	Price $\leq$ 20-Week EMA	\$750 per installment: Use base \$500 + \$250 from CASH.to.
Standard Buy (Low)	Price $>$ 20-Week EMA BUT $\leq$ 25% above 200-Day SMA	\$500 per installment: Full base amount.
Standard Buy (High)	Price $>$ 25% above 200-Day SMA BUT $<$ 50% above 200-Day SMA	\$300 per installment: Divert \$200 to CASH.to (Caution Zone).

Market Condition	Technical Indicator	Installment Action
The Ceiling (NO BUY)	Price $\geq$ 50% above 200-Day SMA	\$0 BTCC.B: Divert all new cash to CASH.to . Start selling (see below).

3. Take Profit Rules (The Ladder Out)

Sell in 20% tranches of current holdings based on **Weekly Candle Closes** (Sunday night). If price hits these levels, **all buying of BTCC.B stops immediately**.

Extension Level	Sentiment	Sell Amount (BTCC.B)
50% Above 200-Day SMA	Strong Bull / Start Exit	Sell 20%
80% Above 200-Day SMA	Overheated	Sell 20%
100% Above 200-Day SMA	Parabolic/Euphoric	Sell 20%
Weekly Close Below 20-Week EMA	Trend Broken	Sell 20% (Protective Exit)

4. Execution & Monitoring

- **DCA Checks:** Execute on the 1st and 15th of every month.
- **Sell Checks:** Monitor indicators every Sunday night (Weekly Close).
- **Tooling (TradingView):**
 - Weekly: 200 WMA and 20 EMA.
 - Daily: 200 SMA.
- **Strategy Definition:** Percentage extensions are calculated from the 200-Day SMA (e.g., 25% High = 200 SMA * 1.25).

Note: Version 3.1 - Added "Standard Buy (High)" caution zone to bridge the gap between accumulation and selling.